

TVS Motor Company Ltd | Consumer Discretionary | FY 2024-03

TVSMOTOR | Nifty 100 Investment Tearsheet

39,145

Revenue (Rs Cr)

1,779

Net Profit (Rs Cr)

14.1

Operating Margin (%)

22.9

Return on Equity (%)

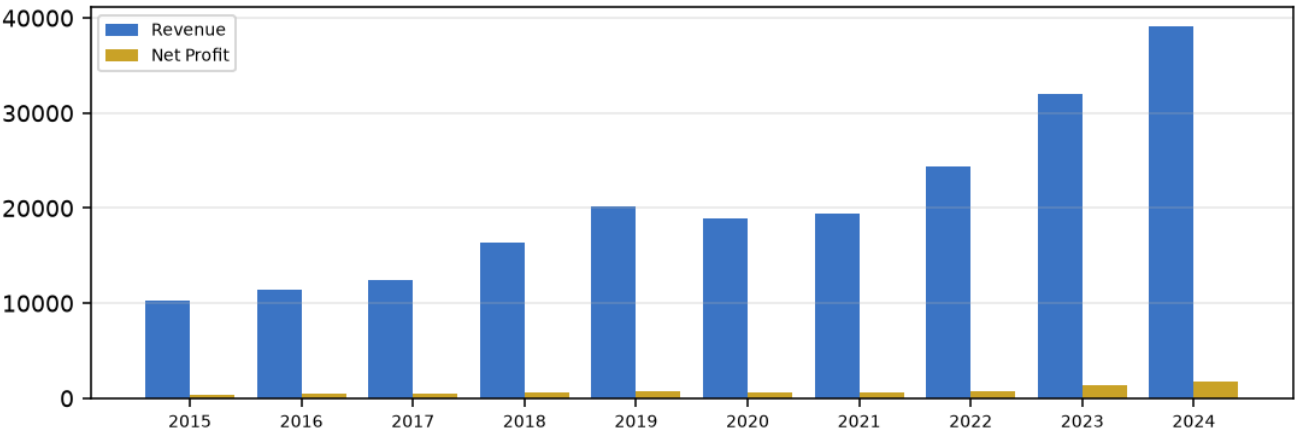
29.4

Return on Capital (%)

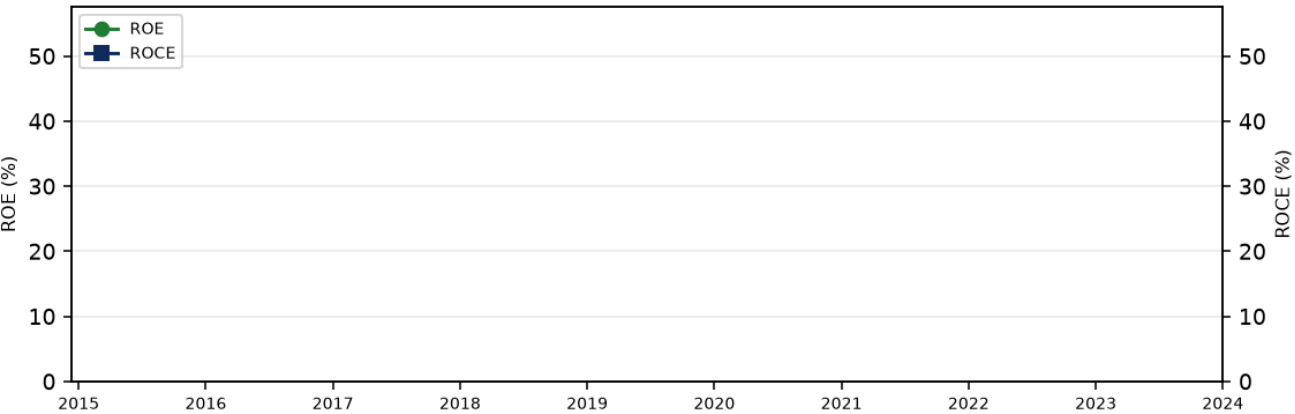
1.88

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)



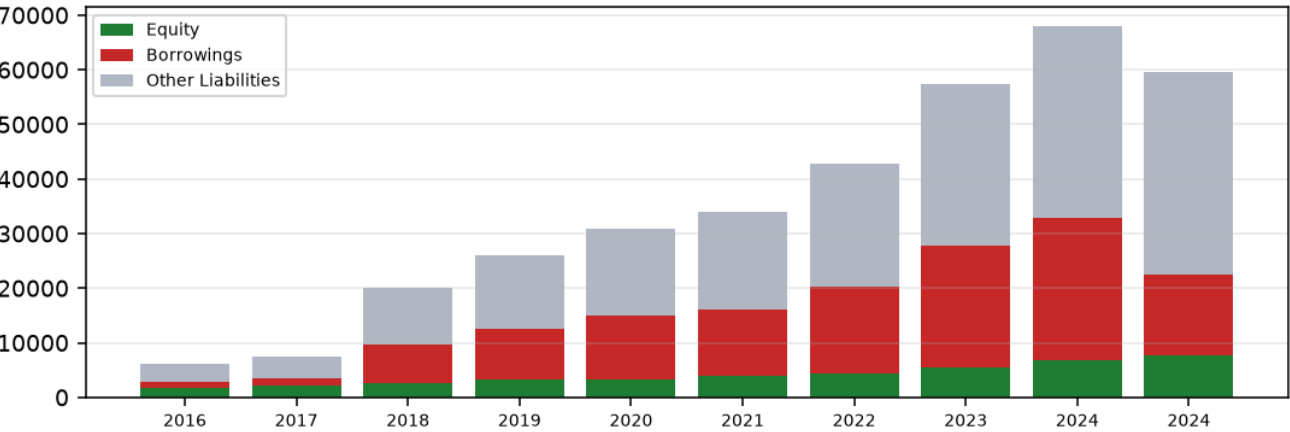
Return on Equity vs Return on Capital



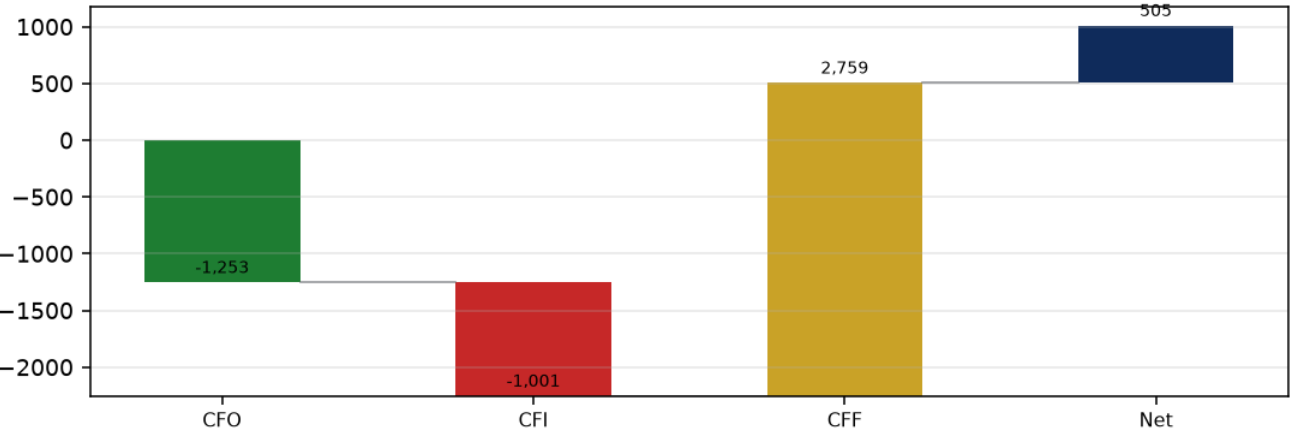
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Balance Sheet Composition (Rs Cr)



Latest-Year Cash Flow Waterfall (Rs Cr)



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

Capital Allocation: Growth Funded by Debt